

Dear Professor Whited,

Thank you very much for the opportunity to submit a revised version of my manuscript, and for the clear guidance. I am thrilled to resubmit a revised manuscript. Detailed responses are included below, but first I would like to provide an overview of the main changes.

- The **revised introduction states clearly the key contribution that sets this paper apart** from my own prior work and the broader literature on changing bond-stock comovements. In short, macroeconomic dynamics have changed so much over the past 30 years that changing one set of parameters is insufficient to return bonds to their risky state of the 1980s. Instead, a “perfect storm” consisting of a change towards more volatile supply shocks and a more hawkish monetary policy rule is needed to generate such reversion in bond risks.
- The revised paper provides additional discussion and results supporting the calibration for the first subperiod. Following the AE’s suggestion, the paper includes the **new Figure 8** showing that a **high volatility of supply shocks is needed to replicate the bond-stock betas of the first subperiod starting from the second subperiod**. The revised paper also includes new examples and references for supply shocks during the 1980s and 1990s, such as the sudden drop in oil prices in 1986. I also added a newspaper count exercise in the **new Appendix Figure A1** showing that supply shocks were a substantial concern during the 1980s and 1990s.
- The revised paper provides an **updated discussion of recent events**. The **new Section 5** emphasizes the difference between an initially weak Fed inflation response during the early post-pandemic and a later much stronger Fed inflation response during the late post-pandemic period. I thereby address the referee’s and AE’s observation that the Fed eventually did respond strongly to the recent spike in inflation.

Thank you again for the opportunity to submit a revised version of this manuscript to the *JFE*. My apologies for taking slightly longer for this revision. I had a baby in September 2024, and I believe this timeline enabled me to respond fully to the thoughtful comments by the AE and the referees.

Sincerely,

Carolyn